Response to Editor

Dear Professor Mueller,

We begin by thanking you for the candid and well-meant advice regarding the timeline of our revision. You are right: a three-year turnaround was far too long, and we should have kept you informed of our progress at regular intervals rather than going silent. The delay was driven almost entirely by the decision to undertake a complete reconstruction of the dataset—a process that proved substantially more time-consuming than we had anticipated—but that context does not excuse the lack of communication. We are genuinely grateful that you honored the original R&R decision despite the circumstances, and we will take your counsel seriously going forward.

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis (R2).** R2 asked for a fuller treatment of the stock market evidence around a greater set of legal events. The examination the referee suggested identified additional important events: the certiorari grant and midterm election of November 1934 (the certiorari grant came on November 5 and the election on November 6, a day on which the market was closed, so their individual contributions cannot be distinguished). Over this window, gold-exposed firms outperformed non-exposed firms by 3.5 percentage points ($t = 3.3$), second only to the Joint Resolution window. The event is now part of the main analysis. The return evidence appears in a dedicated table (Table 1, in the main text) and four event-study figures (Internet Appendix Figures IA.1–IA.4). A new Internet Appendix table (Table IA.20) examines the lower court events; none of them generated a strong differential in returns between exposed and unexposed firms.

- **Robustness with the full set of fixed effects (R6).** R6 asked to see the characteristic-control specifications with industry-year fixed effects included. New Internet Appendix Table IA.16 reports all of them. The 1933 effect is essentially unchanged and remains significant; the 1934 effect attenuates and mostly loses significance, without sign reversals. Section 5 now discusses this sensitivity directly and notes that the attenuation arises only when the characteristic controls and the industry-year fixed effects are included together.

- **Limitations of the exposure measure (R6).** R6 asked the paper to be more upfront about the fact that gold exposure is entangled with the debt-versus-preferred composition of a firm's fixed claims. Section 5.5 now closes with an explicit limitations discussion, stating that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends (R6).** R6 noted that the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient. Section 5.2 now acknowledges this directly and clarifies that the support for the parallel-trends assumption comes from the pre-treatment coefficients being individually insignificant.

- **Liberty bond discussion (R2).** R2 asked for the appropriate context for the Liberty Bond price increase during the January 1935 arguments. We agree with the referee's interpretation and have adopted it in the text: as gold-denominated government obligations, Liberty Bonds rose in price because investors saw a real chance the government could lose the case. The missing *New York Times* citation has been added.

Corrections identified while reviewing the code. As part of this revision we reviewed the code of our empirical exercises end to end; this led to a few corrections, none of which changed the interpretation of the results.

1. The "no redemption" sample of column 4 of Table 4 (and of Internet Appendix Table IA.9, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935. The revised sample excludes only the firms that retired their gold-clause debt during the litigation window. No coefficient loses significance; the level of $\tilde{d}$ and the $1935 \times \tilde{d}$ interaction sharpen from the 5% to the 1% level. For convenience, Table R1, at the end of this document, reports column 4 before and after the correction.

2. The standard errors in column 7 of Table 4 (Table 3 in the previous draft), the bank-debt placebo, were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; the

1926 and 1928 placebo interactions sharpen from the 10% level to the 5% and 1% levels, respectively, and the litigation-year cells remain insignificant in both versions. For convenience, Table R2, at the end of this document, reports the column before and after the correction.

3. In Internet Appendix Table IA.14, the below/above-median classification of firms was inadvertently computed over all sample years rather than at the 1930 base year. The corrected classification changes the estimates, while the central heterogeneity conclusions are unchanged.

4. The firm count printed in the header of Panel C of Table 2 (formerly 594) was a typographical error introduced when the table was created; the underlying sample is unchanged (503 firms).

Once again, we are grateful for the opportunity to revise our paper for possible publication at the Review of Financial Studies. We believe the comments and suggestions of the entire review team have substantially improved the manuscript. We look forward to hearing back from you.

Sincerely,

Joao Gomes, Mete Kilic, and Sebastien Plante

Table R1: Table 4, column 4 (no-redemption sample), before and after the correction

	Column 4 (No redemption)	
	Round 1	Revised
Q	0.085***	0.085***
	(0.015)	(0.014)
$\tilde{d}$	-0.097**	-0.099***
	(0.033)	(0.033)
1926 $\times$ $\tilde{d}$	0.057**	0.059**
	(0.021)	(0.022)
1927 $\times$ $\tilde{d}$	0.026	0.029
	(0.028)	(0.028)
1928 $\times$ $\tilde{d}$	0.061*	0.060*
	(0.030)	(0.030)
1929 $\times$ $\tilde{d}$	0.046	0.043
	(0.029)	(0.029)
1930 $\times$ $\tilde{d}$	-0.018	-0.015
	(0.022)	(0.022)
1931 $\times$ $\tilde{d}$	0.004	0.008
	(0.014)	(0.014)
1933 $\times$ $\tilde{d}$	-0.068***	-0.063***
	(0.013)	(0.013)
1934 $\times$ $\tilde{d}$	-0.032***	-0.035***
	(0.011)	(0.010)
1935 $\times$ $\tilde{d}$	0.025**	0.029***
	(0.010)	(0.010)
1936 $\times$ $\tilde{d}$	0.001	0.007
	(0.012)	(0.012)
1937 $\times$ $\tilde{d}$	0.015	0.011
	(0.016)	(0.016)
1938 $\times$ $\tilde{d}$	0.000	0.009
	(0.019)	(0.019)
1939 $\times$ $\tilde{d}$	-0.021	-0.021
	(0.015)	(0.015)
1940 $\times$ $\tilde{d}$	-0.005	-0.011
	(0.016)	(0.016)
R^2	0.221	0.229
Observations	5,572	5,853

Note. The Round 1 sample inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935; the revised sample excludes only the 96 firms that retired their gold-clause debt during the litigation window. Standard errors in parentheses are two-way clustered by firm and year. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Table R2: Table 4, column 7 (bank-debt placebo), before and after the clustering correction

	Round 1	Revised
Q	0.095***	0.095***
	(0.014)	(0.017)
$\tilde{d}$	-0.007	-0.007
	(0.110)	(0.093)
$1926 \times \tilde{d}$	-0.335*	-0.335**
	(0.177)	(0.129)
$1927 \times \tilde{d}$	-0.210	-0.210
	(0.157)	(0.124)
$1928 \times \tilde{d}$	-0.144*	-0.144***
	(0.078)	(0.038)
$1929 \times \tilde{d}$	0.252	0.252
	(0.321)	(0.147)
$1930 \times \tilde{d}$	-0.097	-0.097
	(0.098)	(0.081)
$1931 \times \tilde{d}$	-0.045	-0.045
	(0.110)	(0.103)
$1933 \times \tilde{d}$	0.057	0.057
	(0.093)	(0.061)
$1934 \times \tilde{d}$	0.060	0.060
	(0.084)	(0.038)
$1935 \times \tilde{d}$	-0.026	-0.026
	(0.056)	(0.026)
$1936 \times \tilde{d}$	-0.013	-0.013
	(0.062)	(0.032)
$1937 \times \tilde{d}$	-0.038	-0.038
	(0.067)	(0.041)
$1938 \times \tilde{d}$	0.025	0.025
	(0.064)	(0.045)
$1939 \times \tilde{d}$	-0.056	-0.056
	(0.075)	(0.052)
$1940 \times \tilde{d}$	0.032	0.032
	(0.076)	(0.057)
R^2	0.239	0.239
Observations	7,074	7,074

Note. Coefficients are identical in the two versions. The Round 1 standard errors were inadvertently clustered by firm only; the Revised standard errors are two-way clustered by firm and year, like every other column of Table 4. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.